

GLOBAL POLICY • CAL-POL-PUR-001

Purchasing policy

Responsible decisions. Reliable supply. Better
outcomes for patients.

Version
1.0

Effective
01 September 2026

Classification
Internal

A MESSAGE FROM PROCUREMENT

What we buy shapes what we can deliver.

“Every purchasing decision affects the continuity, quality, and affordability of medicines. Caldova buys with discipline so that the right materials and services reach our teams at the right quality, place, time, and total cost, without compromising patients, people, or the planet.”

Policy promise

Caldova will make purchasing decisions that are evidence-based, explainable, properly authorized, and proportionate to risk.

DOCUMENT CONTROL

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POLICY AT A GLANCE

Four controls apply to every purchase.

01

Define the business need and accountable owner.

02

Use proportionate competition and due diligence.

03

Separate request, selection, approval, and receipt.



Purpose and scope

This policy establishes the global framework for purchasing materials, equipment, works, and services at Caldova Pharmaceuticals. It defines who may commit Caldova funds, how suppliers are selected and governed, and how quality, continuity, ethics, sustainability, and value are considered throughout the supplier lifecycle.

Global minimum. Local law, regulation, quality procedures, delegated authority, and contractual controls may be stricter. The stricter requirement applies.

THIS POLICY APPLIES TO

- All Caldova employees and contingent workers who request, source, approve, receive, or pay for goods and services.
- All direct and indirect purchases, including active ingredients, excipients, packaging, contract manufacturing, laboratory services, logistics, technology, facilities, and professional services.
- All suppliers, contractors, consultants, distributors, and subcontractors acting for or delivering to Caldova.

MANAGED SEPARATELY

- Employee payroll, taxes, grants, and regulated patient-support payments governed by separate controls.
- Emergency actions needed to protect life or product, provided they are documented and reviewed within two business days.

NO COMMITMENT BEFORE APPROVAL

Only an authorized purchase order or signed contract may commit Caldova. Supplier work must not begin on the basis of an email, meeting, requisition, or verbal instruction.



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Purchasing principles

Six principles guide every decision, from a routine catalog order to a strategic contract-manufacturing agreement.

SIX DECISION PRINCIPLES

Value begins with trust.

01

PATIENTS AND QUALITY FIRST

Quality, safety, regulatory status, and reliable supply are mandatory gates. A lower price never offsets an unacceptable patient or product risk.

02

FAIR AND OPEN COMPETITION

Caldova gives qualified suppliers a fair opportunity and uses objective, documented criteria. Requirements must not be shaped to favor a supplier.

03

CLEAR ACCOUNTABILITY

The requester defines the need, Purchasing leads the market process, Quality approves GMP-relevant sources, and authorized leaders approve commitments.

04

BEST TOTAL VALUE

Decisions consider lifecycle cost, quality, service, capacity, innovation, risk, sustainability, and commercial terms rather than unit price alone.

05

INTEGRITY BY DESIGN

Conflicts, gifts, confidential information, sanctions, fraud, and bribery risks are disclosed and controlled before a decision is made.

06

RESILIENT AND RESPONSIBLE SUPPLY

Caldova builds continuity, respects human rights, reduces environmental impact, and expects suppliers to extend these standards through their supply chains.

DECISION RIGHTS

Different hands define, select, approve, and receive.

Role	Primary accountability
Business requester	Defines the outcome, specification, timing, funding, and acceptance criteria; confirms receipt without directing the award.
Purchasing	Selects the sourcing route, manages competition and negotiation, documents the recommendation, and maintains the commercial record.
Quality and Regulatory	Classifies GxP risk, qualifies regulated suppliers and sites, approves quality agreements, and can stop or restrict supply.
Finance and Legal	Validate funding, financial controls, tax, sanctions, contract terms, privacy, and legal risk according to the engagement.
Approval authority	Confirms business need, value, risk, and policy compliance within delegated authority before Caldova is committed.

Segregation of duties

No individual may control the requirement, supplier selection, approval, receipt, and payment for the same transaction. Where staffing makes full separation impractical, Finance must approve and record a compensating review.

SOURCING ROUTES

Competition is the default.

COMPETITIVE REQUEST

Default for comparable goods or services when the requirement and evaluation criteria can be stated clearly.

NEGOTIATED CATEGORY STRATEGY

Used for established categories with current market evidence, approved panels, and documented leverage or continuity objectives.

SINGLE OR SOLE SOURCE

Allowed only for documented technical exclusivity, validated continuity need, intellectual property, approved standardization, or an unavailable competitive market.

EMERGENCY PURCHASE

Used to protect patients, people, regulated product, or operations when delay creates greater harm; retrospective review is mandatory.

Always apply the higher control. Critical GxP suppliers require Quality qualification regardless of spend. Contract, privacy, cybersecurity, and regulatory controls also apply independently of value.

MINIMUM COMPETITION AND APPROVAL

Below \$25,000	Catalog, benchmark, or one documented quote	Budget owner
\$25,000-\$99,999	At least two comparable written quotes	Budget owner + Purchasing
\$100,000-\$249,999	At least three qualified bidders	Functional VP + Purchasing
\$250,000-\$999,999	Formal RFP or documented category strategy	VP of Procurement + Functional VP
\$1,000,000 and above	Formal RFP and executive recommendation	CSCO + CFO

EXCEPTIONS

Any departure from minimum competition or standard control requires a written exception before commitment. The exception must identify risk, compensating controls, approvers, and an expiry date. Poor planning, supplier preference, or work already started is not a valid justification.



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Supplier lifecycle

Qualification is proportionate to what can go wrong, not simply to what Caldova spends.

RISK CLASSIFICATION

Three tiers. One evidence standard.

Critical

TYPICAL SCOPE

GMP materials, contract manufacturing, product testing, primary packaging, cold chain

MINIMUM CONTROLS

Quality audit, regulatory review, financial and continuity assessment, quality agreement, executive risk acceptance

Managed

TYPICAL SCOPE

High-spend technology, engineering, facilities, logistics, professional services

MINIMUM CONTROLS

Business, privacy, security, financial, ESG, and continuity checks proportionate to risk

Standard

TYPICAL SCOPE

Low-risk catalog goods and routine services

MINIMUM CONTROLS

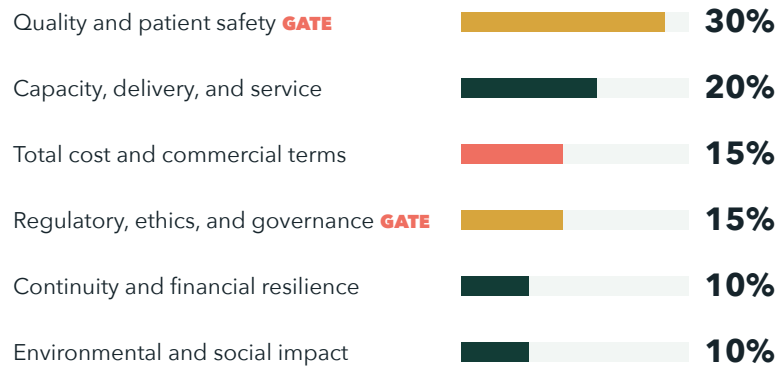
Identity, sanctions, tax, banking, code acknowledgment, and basic performance review

Risk can move.

A supplier's tier must be reassessed when scope, site, ownership, subcontracting, technology, regulatory status, data access, geography, performance, or dependency materially changes.

EVALUATION MODEL

Compare evidence, not impressions.



Category teams may refine subcriteria before release, but published weights may not be changed after offers are opened without restarting or formally amending the process.

QUALIFICATION RULES

1. A critical supplier cannot be awarded without Quality approval, regardless of spend or competition result.
2. An unresolved critical audit finding, disqualifying regulatory status, sanctions match, or refusal to accept required conduct standards stops onboarding.
3. A supplier must score at least 70 of 100 overall and pass every mandatory gate unless an approved exception states the owner, controls, and expiry date.
4. Due diligence must identify the contracted legal entity, manufacturing or service locations, beneficial ownership where required, and material subcontractors.

Decision record. The sourcing file must preserve requirements, invited suppliers, offers, clarifications, evaluation evidence, conflicts, approvals, negotiation outcomes, and the final recommendation.

END-TO-END CONTROL

Selection is only the beginning.

01

DISCOVER

Confirm need, specification, budget, category strategy, incumbent facts, and market options.

02

QUALIFY

Classify risk; assess quality, regulatory, ethics, security, finance, resilience, and sustainability.

03

SELECT

Run the approved sourcing method, evaluate against published criteria, negotiate, and document the recommendation.

04

CONTRACT AND ONBOARD

Complete approvals, contract, quality agreement, master data, banking verification, and operational readiness.

05

MONITOR AND RENEW

Review performance and risk, close corrective actions, reassess before renewal, and plan orderly exit where needed.

MONITORING CADENCE

- Critical suppliers: quarterly performance review and annual risk reassessment; audit frequency set by Quality risk.
- Managed suppliers: at least annual performance and risk review, with category-specific evidence.
- Standard suppliers: event-driven monitoring and review before material scope or ownership changes.
- All suppliers: continuous sanctions screening and prompt escalation of quality, cyber, ethics, labor, environmental, financial, or continuity events.

CORRECTIVE ACTION AND ESCALATION

1. Record the deviation and immediate containment.
2. Classify impact and assign an accountable owner.
3. Agree root-cause analysis, corrective actions, evidence, and due dates.
4. Verify effectiveness before closure.
5. Escalate repeated, overdue, or material failures to restriction, suspension, or termination.

INTEGRITY AND RESPONSIBLE SUPPLY

How we buy matters.

1

Disclose actual, potential, or perceived conflicts before participating in a sourcing decision.

2

Do not solicit or accept gifts, travel, entertainment, favors, or employment discussions that could influence or appear to influence judgment.

3

Protect supplier bids, trade secrets, personal data, and Caldova information; share only for an authorized business need.

4

Never split purchases, backdate documents, bypass approvals, alter evaluations, or ask a supplier to begin work before authorization.

5

Report suspected fraud, bribery, retaliation, bid coordination, human-rights abuse, falsification, or quality concealment through Caldova Speak Up.

SUPPLIER EXPECTATIONS

PEOPLE

Respect human rights, prohibit forced and child labor, provide safe work, and maintain effective grievance channels.

PLANET

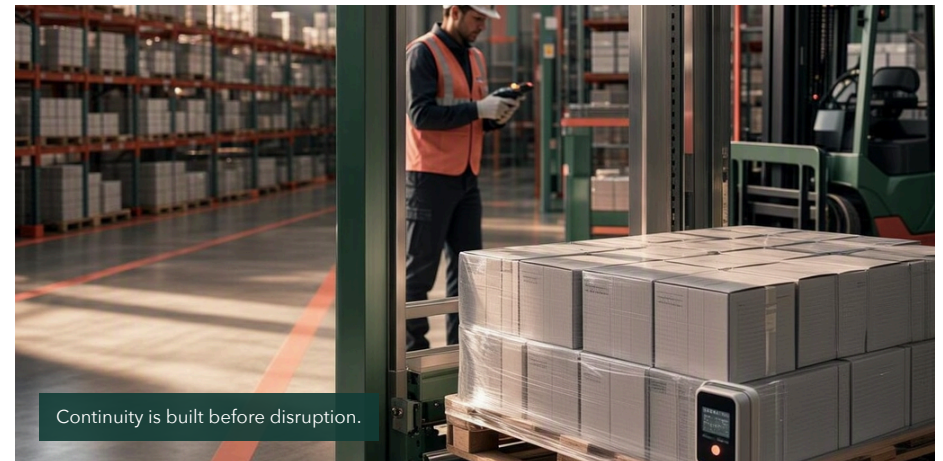
Measure and reduce emissions, waste, water, hazardous materials, and biodiversity impacts using credible improvement plans.

RESILIENCE

Map critical dependencies, protect inventory and data, test continuity plans, disclose disruptions, and maintain recovery options.

PROGRESS

Set proportionate expectations, use evidence, support corrective action, and recognize measurable supplier improvement.



Continuity is built before disruption.

ANNEX A

Buyer commitments

- 1 Put patients, product quality, and Caldova's interests before personal preference.
- 2 Engage Purchasing early and use approved systems, contracts, and supplier records.
- 3 State requirements and evaluation criteria clearly before receiving offers.
- 4 Treat qualified suppliers consistently and preserve a complete decision record.
- 5 Use confidential information only for the authorized sourcing purpose.
- 6 Challenge waste, unmanaged risk, weak competition, and unrealistic commitments.
- 7 Speak up when conduct, quality, or evidence does not meet this policy.
- 8 Continue learning about supply markets, regulation, technology, and responsible sourcing.

ANNEX B

Exception record

At minimum, every exception record must contain:

1. Requirement and business owner
2. Policy requirement not met
3. Reason competition or standard control is not feasible
4. Supplier and proposed commitment
5. Patient, quality, regulatory, financial, and continuity risk
6. Compensating controls and accountable owners
7. Approvals and decision date
8. Expiry or next review date

APPROVAL

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Approved electronically
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 12 August 2026

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 12 August 2026

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 12 August 2026